

Notes: Khwaja & Mian (QJE, 2005)

Do Lenders Favor Politically Connected Firms? Rent Provision in an Emerging Financial Market

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1 Big picture: what the paper does

The paper asks a concrete and high-stakes question: *Do lenders (especially state-owned banks) provide credit rents to politically connected firms?* Using the universe of corporate lending in Pakistan (1996–2002), it documents that:

- politically connected firms borrow substantially more,
- they default substantially more,
- and the extra lending/default is concentrated in **government banks** (private banks show no comparable political favoritism).

Beyond documenting correlations, the paper is careful about **identification**: it uses within-firm variation across lender types and within-firm variation over time as political power changes. Finally, it provides back-of-the-envelope **economy-level cost** calculations (taxpayer bailouts and investment distortions).

2 Data, objects, and key definitions

2.1 Loan-level panel and institutional setting

- Universe of corporate loans in Pakistan, 1996–2002.
- Unit of observation (baseline): firm i borrowing from bank j (loan-level information aggregated at that firm–bank level when needed).
- Banks are classified into **government** vs **private** (and sometimes “social” government banks).

2.2 Political connection

A firm is defined as **politically connected** if one of its directors participates as a candidate in an election. The paper also constructs measures of **political strength** using election outcomes and vote shares:

- Win indicator,
- vote share,
- victory margin,
- whether the politician’s *party* is in power,
- voter turnout / electoral participation (as a proxy for accountability/monitoring).

2.3 Loan outcomes

Let a loan (or firm–bank credit relationship) have:

- interest rate r_{ij} ,
- default indicator / default rate δ_{ij} ,

- recovery rate ρ_{ij} (fraction recovered conditional on default),
- loan size (credit amount) L_{ij} .

2.4 A key accounting identity: the unit return on a loan (Eq. 1)

The paper defines a **unit rate of return** (gross payoff per rupee lent):

$$\eta_{ij} \equiv (1 + r_{ij})(1 - \delta_{ij}) + \delta_{ij}\rho_{ij}. \quad (1)$$

Interpretation:

- With probability $(1 - \delta_{ij})$ the loan performs and pays principal plus interest, $(1 + r_{ij})$.
- With probability δ_{ij} the borrower defaults and the lender recovers ρ_{ij} .

This is an **accounting** decomposition: differences in returns can come from interest rates, default probabilities, and recoveries.

3 Empirical strategy and core models

A central concern is that politically connected firms may differ in unobserved ways (risk, profitability, demand for credit). The paper therefore moves from cross-sectional regressions to within-firm strategies.

3.1 Model 1: cross-sectional comparisons with bank fixed effects (Eq. 2)

For an outcome Y_{ij} :

$$Y_{ij} = \alpha_j + \beta_1 \text{Political}_i + \gamma'_1 X_i + \gamma'_2 X_{ij} + \varepsilon_{ij}. \quad (2)$$

- α_j are **bank fixed effects** (absorbing bank-level pricing/portfolio tendencies).
- Political_i is the firm political-connection indicator.
- X_i are firm controls (e.g., size bins, industry, location/city size, group/conglomerate).
- X_{ij} are loan-relationship controls (e.g., loan type).

What this regression can show:

- whether political firms, on average, obtain larger loans or exhibit worse performance,
- *conditional* on observables and on bank-level heterogeneity.

What it *cannot* fully solve:

- time-invariant unobservable firm risk/quality that correlates with political connections.

3.2 Model 2: within-firm, across-lender-type (government vs private) comparisons (Eq. 3)

The paper’s key identification idea is to compare the **same firm** borrowing from government vs private banks. Let GOV_j indicate a government bank.

$$Y_{ij} = \alpha_i + \alpha_j + \beta_1(\text{Political}_i \times GOV_j) + \gamma'_1 X_{ij} + \gamma'_2(X_{ij} \times GOV_j) + \varepsilon_{ij}. \quad (3)$$

- α_i are **firm fixed effects**: they remove all time-invariant firm heterogeneity.
- α_j are **bank fixed effects**: they remove bank-level average differences.
- The coefficient β_1 captures whether political firms receive differential treatment in government banks *relative to private banks*, after absorbing firm and bank fixed effects.

Intuition (difference-in-differences logic):

- For a political firm, the interaction switches on for government-bank lending but not for private-bank lending.
- For a nonpolitical firm, the interaction is always zero.
- Identification is therefore driven by how *political* firms differ when borrowing from *government* banks, compared with the same firm’s borrowing from *private* banks.

3.3 Model 3: within-firm over time as political power changes (Eq. 4)

The paper also uses the time dimension: a politician may win/lose office over time, shifting the firm’s political power. Let WIN_{it} indicate that firm i ’s affiliated politician is in power at time t .

$$Y_{ijt} = \alpha_{ij} + \alpha_t + \beta_1(WIN_{it} \times GOV_j) + \beta_2 WIN_{it} + \varepsilon_{ijt}. \quad (4)$$

- α_{ij} are **relationship fixed effects** (firm–bank pair): they hold constant the baseline lending relationship.
- α_t are time fixed effects (e.g., quarter): they absorb macro shocks.
- β_1 asks: when the politician becomes (more) powerful, does the same firm shift borrowing toward government banks?

4 Main empirical results: table-by-table interpretation

4.1 Table I: summary statistics (baseline magnitudes)

Table I provides the scale and basic moments:

- Average loan size is highly skewed (large standard deviation relative to mean).
- Default is economically large: the average default rate is around 17% (depending on weighting).
- Recovery conditional on default is low (single digits in percent).

- The average unit return η is below 1 (less than 100%), implying losses for banks on average.
- Politically connected firms are a minority by count but receive a large share of credit by value.

The key takeaway is that the dataset has enough variation and enough default to make “rents via bad lending” measurable.

4.2 Table II: political vs nonpolitical borrowers look observably different

Table II shows that political and nonpolitical loans differ in observables:

- political borrowers are more prevalent in larger business groups,
- their loan-type mix tilts toward fixed/term lending relative to working-capital lending,
- political presence varies substantially across industries (e.g., high political share in some sectors).

This motivates the extensive use of controls and fixed effects: political connection is *not* randomly assigned across observables.

Panel A: Loan-level variables					
Variable	Mean	S.D.	Obs.		
Loan Size ('000s of 1995 Pak \$s.)	6,669	89,298	112,685		
Default Rate (%)	16.85	30.22	112,685		
Unweighted					
Default Rate (%) Loan size weighted	17.61	31.06	112,685		
Recovery Rate (%) (conditional on default)	8.55	24.50	24,562		
Rate of Return (%)	93.46	35.70	89,223		
Interest Rate (%)	14.05	2.90	89,223		
Loan Type	Fixed	Working Capital	Letter of Credit	Guarantees	Other
Percent of total lending	32%	49%	7%	7%	5%
Panel B: Borrower/firm attributes					
Politically Connected	No	Yes			
Percent of total firms	77%	23%			
Percent of total lending (of total loans)	63% (74%)	37% (26%)			
Size (percentile)	0-50	50-75	75-95	95-99	99-100
Percent of total lending (of total loans)	6% (42%)	3% (21%)	13% (23%)	23% (9%)	55% (5%)
Location (City Size)	Small	Medium	Large	Unclassified	
Percent of total lending (of total loans)	8% (17%)	12% (15%)	74% (52%)	6% (16%)	
Foreign Firm	No	Yes			
Percent of total lending (of total loans)	99.9%	4% (0.2%)			
Business Group Size	Stand Alone	Intermediate	Conglomerate	Unclassified	
Percent of total lending (of total loans)	20% (54%)	19% (17%)	39% (10%)	22% (19%)	
Panel C: Politician level variables for matched politicians (2073 politicians)					
Variable	Mean	S.D.			
Win (%)	9.0	26.0			
Percentage Votes	9.83	16.33			
Victory Margin	20.53	16.50			
Electoral Participation (%)	36.60	10.46			

	Political loan	Nonpolitical loan	Difference	
Average city size	1.28 (0.11)	1.45 (0.10)	-0.17 (0.03)	
Average group size	1.68 (0.11)	1.37 (0.07)	0.31 (0.04)	
Loan type share				
Fixed	37.72	28.80	8.92	
Working capital	46.43	49.82	-3.39	
Letter of credit	6.45	7.71	-1.26	
Guarantees	6.59	7.27	-0.68	
Other	2.81	6.40	-3.59	
Industry Share				
	% of total lending	% of Industry type	% of total lending	% of Industry type
Agriculture	1.4	27.2	2.3	76.0
Chemicals	5.1	53.1	2.6	46.9
Construction	8.3	49.1	5.0	50.9
Engineering/machinery	4.1	20.9	9.0	79.1
Food	11.7	42.8	9.1	57.2
Finance	3.8	23.4	7.3	76.6
Leather	0.5	33.0	0.5	67.0
Paper	2.0	47.4	1.3	52.6
Transport	0.8	19.9	1.9	80.1
Textile	36.6	54.1	18.1	45.9
Energy	1.5	55.8	0.7	44.2
Other	3.1	35.5	3.2	64.5

Dependent variable	Log loan size (1)	Rate of return (2)	Default rate (3)	Recovery rate (4)	Interest rate (5)
Politically connected	0.37 (0.08)	-6.08 (2.46)	6.22 (1.98)	-1.09 (1.14)	0.09 (0.05)
Controls	YES	YES	YES	YES	YES
R ²	0.26	0.28	0.29	0.24	0.43
No. of Obs.	112,685	89,223	112,685	24,562	89,223

4.3 Table III: cross-sectional evidence of rents (Eq. 2)

Table III estimates Eq. (2) and reports five outcomes. Core patterns:

- **Credit quantity (log loan size):** political firms borrow more.
- **Credit performance:** political loans have higher default and lower returns.
- **Pricing:** interest rate differences are small relative to default differences.

Economic magnitudes (using the reported coefficient on Political_i in the log-loan regression):

$$\hat{\beta}_1 \approx 0.37 \quad \Rightarrow \quad \exp(0.37) - 1 \approx 0.45,$$

so political firms borrow about **45% more** in the cross section.

The return identity (1) helps interpret the return results: the negative return differential is primarily a *default/recovery* phenomenon rather than a high-interest-rate phenomenon.

4.4 Table IV: political default is a government-bank phenomenon

Table IV focuses on default rates. The key finding is a sharp asymmetry:

- in **government banks**, political loans default substantially more;
- in **private banks**, political loans do not default more (if anything, they default slightly less once controls are included).

The combined specification with an interaction can be read as:

Political effect in private banks $\approx \beta_{\text{pol}}$, Political effect in government banks $\approx \beta_{\text{pol}} + \beta_{\text{pol} \times \text{gov}}$.

The interaction term is large and positive, implying that the excess default for political firms is **concentrated in government banks**.

	Default rate (%)				
	(1)	(2)	(3)	(4)	(5)
	Government banks only	Private banks only	All banks		Firms borrowing from both government and private banks
Politically connected	10.92 (4.12)	9.13 (1.92)	-0.02 (0.27)	-0.78 (0.26)	-0.78 (0.26)
Politically connected * government bank				9.91 (1.90)	1.4 (1.04)
Constant	19.87 (2.60)	—	6.05 (2.03)	—	—
Controls	NO	YES	NO	YES	YES*
R^2	0.02	0.3	0.004	0.15	0.33
No. of Obs.	61,897	61,897	50,788	50,788	112,685

	Log loan size		
	(1)	(2)	(3)
	Data restricted to firms that borrow from both government and private banks		
Government bank	0.07 (0.03)	-1.19 (0.14)	-0.2 (0.03)
Politically connected * government bank	0.29 (0.05)	-0.21 (0.22)	0.13 (0.05)
Government bank * log firm size		0.14 (0.02)	
Politically connected * government bank * log firm size		0.041 (0.03)	
Government bank * firm default rate			1.9 (0.11)
Politically connected * government bank * firm default rate			0.56 (0.17)
Firm fixed effect	YES	YES	YES
R^2	0.81	0.81	0.83
No. of obs.	10,880	10,880	10,880

	Log loan size				
	(1)	(2)	(3)	(4)	(5)
	Data restricted to firms that borrow from both government and private banks				
Government bank	0.07 (0.03)	0.07 (0.03)	0.07 (0.03)	0.07 (0.03)	0.07 (0.03)
Politically connected * government bank	0.25 (0.06)	0.26 (0.05)	0.25 (0.05)	0.23 (0.05)	0.67 (0.20)
Politically connected * government bank * percentage votes	0.69 (0.47)				
Politically connected * government bank * win		0.63 (0.32)			
Politically connected * government bank * victory margin			0.53 (0.29)		
Politically connected * government bank * winparty				0.29 (0.13)	
Politically connected * government bank * electoral participation					-1.04 (0.53)
Firm fixed effect	YES	YES	YES	YES	YES
R^2	0.81	0.81	0.81	0.81	0.81
No. of Obs.	10,880	10,880	10,880	10,880	10,880

4.5 Table V: within-firm evidence that government banks expand credit to political firms

Table V implements the within-firm government-vs-private comparison logic behind Eq. (3). By restricting to firms that borrow from both bank types and including firm fixed effects, it directly addresses the concern that political firms are simply “different firms.”

Main takeaway:

- the same political firm receives **more credit** from government banks than from private banks.

Magnitude:

$$\hat{\beta}_1 \approx 0.29 \Rightarrow \exp(0.29) - 1 \approx 0.34,$$

so the within-firm government-bank premium is roughly **34% more credit**.

Table V also shows that the government-bank premium is stronger for firms that appear riskier (higher default), consistent with *rent provision* rather than efficient credit allocation.

4.6 Table VI: political strength and accountability shape rent provision

Table VI asks whether the preferential government-bank credit depends on how powerful the politician is. It interacts the political-government term with measures like votes, victory margin, winning status, and electoral participation.

The qualitative pattern is:

- stronger politicians tend to be associated with larger government-bank lending premia,
- higher voter participation (a proxy for monitoring/accountability) is associated with a *smaller* lending premium.

This aligns with the interpretation that the effect is mediated by political power and constraints on rent extraction.

TABLE VII
TIME SERIES TEST OF POLITICAL STRENGTH

Dependent variable	Log loan size			
	Data restricted to politically connected firms that experience change in political status			
	(1)	(2)	(3)	(4)
In power?	-0.120 (0.027)		-0.106 (0.028)	-0.105 (0.027)
In power * government bank	0.186 (0.032)		0.170 (0.032)	0.168 (0.033)
Party in power?		-0.132 (0.028)	-0.120 (0.028)	-0.120 (0.028)
Party in power * government bank		0.170 (0.033)	0.153 (0.033)	0.150 (0.036)
In power * party in power * government bank				0.008 (0.040)
Fixed effects	Firm * bank- type, quarter	Firm * bank- type, quarter	Firm * bank- type, quarter	Firm * bank- type, quarter
R^2	0.79	0.79	0.79	0.79
No. of Obs.	29,405	29,405	29,405	29,405

TABLE VIII
TESTING FOR A SOCIAL LENDING EXPLANATION

Dependent variable	Default rate	Log loan size	Default rate	Log loan size
	(1)	(2)	(3)	(4)
Politically connected * government bank	10.47 (1.84)	0.36 (0.05)	11.68 (2.88)	0.32 (0.08)
Politically connected * government bank * social government bank	-9.4 (2.73)	-0.21 (0.17)		
Politically connected * government bank * local firm			-2.54 (2.09)	-0.042 (0.08)
Controls	YES	YES	YES	YES
Firm fixed effects	0.33	0.56	0.33	0.81
R^2	112,685	11,549	112,685	10,880
No. of Obs.				

TABLE IX
ARE POLITICALLY CONNECTED FIRMS LESS PRODUCTIVE?

	Data restricted to textile firms							
	Exporter?		Exporter?		Log exports		Log export productivity	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Firm default rate	-0.22 (0.051)	-0.17 (0.060)						
Government bank borrower			-0.19 (0.08)		-0.79 (0.44)		-0.28 (0.18)	
Politically connected				0.05 (0.06)		0.05 (0.20)		-0.02 (0.09)
Politically connected * government bank borrower				-0.13 (0.07)		-0.64 (0.31)		-0.24 (0.15)
Constant	0.22 (0.029)							
Controls	YES	YES	YES	YES	YES	YES	YES	YES
R^2	0.04	0.27	0.2	0.28	0.1	0.18	0.1	0.21
No. of Obs.	6,313	6,313	6,313	6,313	6,313	6,313	6,313	6,313

4.7 Table VII: time-series evidence around political victories (Eq. 4)

Table VII uses within-firm variation over time: when the affiliated politician (or his party) is in power, the firm shifts borrowing toward government banks.

A useful way to read the coefficients is:

- for private banks (baseline), “in power” is associated with reduced borrowing,
- the interaction with government banks is positive and offsets this drop.

Example interpretation (using column (1)):

$$\Delta \log L^{\text{private}} \approx -0.120 \Rightarrow \exp(-0.120) - 1 \approx -11.3\%,$$

$$\Delta \log L^{\text{gov}} \approx -0.120 + 0.186 = 0.066 \Rightarrow \exp(0.066) - 1 \approx 6.8\%.$$

So gaining power is associated with a reallocation: **less private-bank credit, more government-bank credit** for the same firm.

4.8 Table VIII: ruling out “social lending” explanations

A competing story is that government banks lend to political firms because doing so generates *social value* (e.g., politically connected firms are locally important employers, or government banks are mandated to lend to local development projects).

Table VIII tests this by interacting the political-government term with:

- “social” government banks (those with explicit social mandates),
- whether the firm is local to the politician’s constituency/region.

The interaction terms go in the *wrong direction* for a social-lending story:

- political favoritism is *weaker* in social government banks,

- and it is not stronger for local firms.

This supports the paper’s interpretation that the main channel is **rent provision**, not development lending.

4.9 Table IX: evidence of real misallocation (quality/productivity)

Table IX links lending distortions to real outcomes by focusing on textile firms and export-based measures of “quality”:

- firms with higher default are less likely to export,
- government-bank borrowers are less likely to export,
- and politically connected government-bank borrowers look *even worse* on export measures.

This is consistent with the view that preferential government-bank lending supports **lower-quality firms**, implying misallocation and potential productivity losses.

5 Back-of-the-envelope cost calculations

The paper provides two cost components that can be inferred from the data.

5.1 Deadweight loss from taxation to cover bailouts

Assume private-bank default reflects “natural” default, about 6%. Government-bank default for political loans is about 30.8%. Then the **incremental default** attributed to corruption is:

$$\Delta\delta^{\text{corrupt}} \approx 0.308 - 0.060 = 0.248.$$

If total government-bank lending is about Rs. 190 billion and political firms receive about 38% of it, then incremental revenue loss is:

$$\text{Loss} \approx 0.248 \times 0.38 \times 190 \approx 17.9 \text{ billion Rs/year.}$$

Using a conservative marginal cost of public funds of about 0.4 per rupee raised, the implied deadweight loss (DWL) is:

$$\text{DWL} \approx 0.4 \times 17.9 \approx 7.2 \text{ billion Rs/year,}$$

and can be as high as 13.7 billion Rs/year under broader assumptions.

5.2 Cost of investment distortion

If corrupt lending is poorly invested, an upper bound is that the defaulted amount generates *zero net returns*. Using a market-to-book ratio of about 2.96, the paper imputes lost present value as:

$$\text{Investment distortion cost} \approx (2.96 - 1) \times \text{Inefficient Gov Lending.}$$

Plugging in inefficient lending of Rs. 17.9–34.3 billion yields roughly Rs. 35–67 billion per year, which is economically large (on the order of about 0.8–1.6% of GDP in the paper’s calibration).

6 Short summary

1. Political connections are associated with **more credit** and **worse repayment**, but **only in government banks**.
2. The paper’s main identification comes from **within-firm** variation across lenders and **within-firm** variation over time as political power changes.
3. Evidence is inconsistent with a “social lending” explanation and consistent with **rent provision**.
4. The implied macro costs (tax distortion and misinvestment) can be sizable.

7 Conclusion

7.1 Summary

This paper concludes that **political connections generate economically large credit rents**, and that these rents are provided **almost entirely through government-owned banks**. Using the universe of corporate lending in Pakistan (1996–2002), the authors show that firms connected to politicians (observed through a director running in elections) obtain substantially more credit and then repay substantially worse. Crucially, the preferential treatment is **not** a generic feature of the credit market: it is concentrated in **state banks**, while **private banks** do not display comparable favoritism.

The paper’s identification relies on **within-firm comparisons**. By using firm fixed effects and exploiting that many firms borrow from both government and private banks, the authors isolate differential treatment that cannot be explained by permanent borrower characteristics. They further use **within-firm over-time variation** in political power (election outcomes and whether the politician/party is in power) to show that rents expand when political influence is stronger and contract when political influence weakens.

Finally, the paper concludes that political rent provision is **macro-relevant**. The implied economy-wide costs of politically distorted lending are estimated to be on the order of **0.3% to 1.9% of GDP per year** (depending on assumptions about the marginal cost of public funds and the efficiency of investment).

7.2 Main empirical conclusions (portable quantitative anchors)

1. **More credit:** politically connected firms borrow about **45% more** than nonconnected firms (in baseline comparisons).
2. **Worse repayment:** political firms exhibit about **50% higher default rates** overall, and the default differential is concentrated in **government banks**.

3. **Government-bank channel:** using within-firm variation across lenders, government banks differentially expand credit to political firms relative to what the *same* firms receive from private banks.
4. **Power dependence:** rents increase with the politician’s strength (e.g., winning/being in power, stronger vote outcomes) and decline with greater electoral participation/turnout (consistent with stronger accountability reducing rent extraction).
5. **Cost magnitude:** the paper’s calibration implies that incremental defaults attributable to political lending are large. For example, using a private-bank default rate of about 6% as a benchmark and government-bank default on political loans of about 30.8%, the incremental loss is about 24.8 percentage points on that lending. Aggregating these losses and adding deadweight loss from taxation yields an upper-bound cost around **1.9% of GDP per year**.

7.3 Economic intuition: why these facts fit together

A coherent intuition is that the paper identifies a **political capture channel** operating through state banks:

1. **State banks can be used to transfer rents.** When banks are government owned (or politically influenced), lending decisions can reflect political objectives or private benefits rather than expected repayment.
2. **Connections relax effective enforcement.** Politically connected borrowers can be treated as “less punishable” in default states (through influence over courts, regulators, or bank managers), which lowers the expected cost of nonrepayment from the borrower’s perspective and weakens screening/monitoring from the lender’s perspective.
3. **The rent shows up primarily as quantity, not price.** If the key distortion is political influence over credit allocation (rather than competitive pricing), favoritism manifests as *greater access to credit* rather than systematically lower interest rates. Ex post, this generates **higher defaults** and **lower loan returns** on political lending in government banks.
4. **Power and accountability govern the size of the rent.** When a politician is in power, the borrower’s leverage over state institutions is higher, so rents increase. When electoral participation is higher, political actions are more visible and punishable, so rents decrease.
5. **Taxpayers ultimately absorb part of the losses.** Losses at government banks are more likely to be socialized via recapitalizations or fiscal support, making the distortion economically costly even if it is privately beneficial to connected borrowers and intermediaries.

7.4 Takeaway

Political connections distort credit allocation by inducing government banks to expand lending to connected firms despite worse repayment, with rent size tracking political power and accountability, and with economy-wide costs that can reach around 1–2% of GDP per year.